

say there will certainly be companies that will be able to fill part of the gap that emanates from the disruption and benefit.

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***Which are the likely beneficiaries?***

It looks like some chemicals, agrochemicals companies, which have a larger base worldwide could benefit. Some of these stocks have not done well in the last three, four years because the cycle was bad. But we are still putting our heads together. My larger point is that this volatility is here to stay. Relatively, India is at a sweet spot, and we could benefit out of this situation in the medium to long term.

86 |

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***Can it get worse from here and should investors be prepared for a short-term impact?***

It is always possible. You know, foreign investors hold \$900 billion in India, and they have sold \$30 billion, which is just 3% of their overall holding. Can they sell another 3% if there is a real global turmoil in the world? It is entirely possible. I can only say that I will tighten my belt more, I will put in tremendous amount of work. The market will provide volatility, and it will provide us excellent entry points to own companies for a longer term.



## **“MARKETS ARE GOING TO BE VOLATILE, [BUT] YOU WILL GET EXCELLENT ENTRY OPPORTUNITIES”**

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***The rupee breached 87 to the dollar. Has that scenario changed now?***

Again, it will depend on how the dollar behaves. If the Dollar index continues to strengthen that will mean that the rupee will weaken. If we look at what has happened to the Chinese Yuan, then the Rupee is not doing that bad.

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***What is the likely impact of the tax stimulus in the Budget on consumption-related stocks?***

It makes perfect sense to give ₹1 lakh crore to consumers. That was the class that was feeling the most hurt because of job losses and the impact of inflation. It has done well on capex as well,

because if you include the grants to states, the overall capex growth is 15-16%. Both have been done while maintaining better fiscal discipline than what the market would have expected. The government has also addressed a lot of other issues, like the ease of doing business, decriminalisation of offenses, etc.